

MODULE 4

MARKETING

OVERVIEW:

Marketing is also a functional area of management that when properly utilized brings beneficial results. If the firm's management knows in advance the needs of the market, then it will proceed to satisfy those need with more resolution. Knowing the needs in advance, however, will require a kind of management that fully understands marketing. Marketing is managing profitable relationships, by attracting new customers by superior value and keeping current customers by delivering satisfaction. Marketing must be understood in the sense of satisfying customer needs.

LEARNING OUTCOMES:

After successful completion of this module, you will be able to:

- A. Understand the strategy of marketing strategy and environment
- B. Describe the process of marketing plan
- C. Explain the marketing strategies and marketing plan
- D. Discuss the features of marketing and marketing customer behaviors

COURSE MATERIALS:

MARKETING DEFINE

Marketing is the process of planning, and executing the conception, pricing, promotion, and distribution of ideas, goods and services to create exchanges that satisfy individual and organizational objectives.

MARKET DEFINE

A market is any place where sellers of particular goods or services can meet with buyers of those goods and services.

MARKETING CONCEPT

The marketing concept is the strategy that firms implement to satisfy customer's needs, increase sales, maximize profit and beat the competition.

UNDERSTANDING THE MARKETPLACE AND CUSTOMER NEEDS

There are five different core customer and marketplace concepts.

1. Customer needs, wants and demands. Human **needs** are states of felt deprivation and can include physical, social and individual needs. **Wants** are the form human needs take as they are shaped by culture and individual personality. **Demands** are human wants that are backed by buying power.
2. **Market offerings** are a combinations of products, services and experiences offered to a market to satisfy a need or want. These can be physical products, but also services – activities that are essentially intangible. The phenomenon of marketing myopia is paying more attention to company products, than to the underlying needs of consumers.
3. Value and satisfaction are key building blocks for customer relationships.

4. **Exchanges** are the acts of obtaining a desired object from someone by offering something in return. Marketing consists of actions trying to build an exchange relationship with an audience.

5. A **market** is the set of all actual and potential buyers of a product or service. Marketing involves serving a market of final consumers in the face of competitors.

DESIGNING A CUSTOMER-DRIVEN MARKETING STRATEGY

Marketing management is the art and science of choosing target markets and building profitable relationships with them. The aim is to find, attract, keep and grow the targeted customers by creating and delivering superior customer value. The target audience can be selected by dividing the market into customer segments (market segmentation) and selecting which segments to go after (target marketing). A company must also decide how to serve the targeted audience, by offering a value proposition. A **value proposition** is the set of benefits or values a company promises to deliver.

There are five alternative concepts that companies use to carry out their marketing strategy.

1. The **production concept**: the idea that consumers will favour products that are available and highly affordable and that the organisation should therefore focus on improving production and distribution efficiency.
2. The **product concept**: the idea that consumers will favour products that offer the most quality, performance, and features and that the organisation should therefore devote its energy to making continuous product improvements.
3. The **selling concept**: the idea that consumers will not buy enough of the firm's product, unless it undertakes a large-scale selling and promotion effort.
4. The **marketing concept**: the idea that achieving organisational goals depends on knowing the needs and wants of target markets and delivering the desired satisfactions better than competitors do. It can be regarded as an "outside-in view".
5. The **societal marketing concept** is the idea that a company's marketing decisions should consider consumer wants, the company's requirements, consumers' long-term interests and society's long-term interests. Companies should deliver value in a way that maintains consumers and society's well-being.

Constructing an integrated marketing plan

A marketing strategy outlines which customers it will serve and how it will create value. The marketer develops an integrated marketing plan that will deliver value to customers. It contains the marketing mix: the tools used to implement the strategy, which are the four Ps: product, price, place and promotion.

Building customer relationships

- **Customer relationship management (CRM)** is the overall process of building and maintaining profitable customer relationships by delivering superior customer value and satisfaction.

- **Customer-perceived-value**, which is the customer's evaluation of the difference between all the benefits and all the costs of a marketing offer, in relation to those of competing offers.
- **Customer satisfaction**, which is the extent to which a product's perceived performance matches a buyer's expectations. Customer delight can be achieved by delivering more than promised.
- **Customer-managed relationships**: marketing relationships in which customers, empowered by today's new digital technologies, interact with companies and with each other to shape their relationships with brands.
- **Consumer-generated marketing**: brand exchanges created by consumers themselves, by which consumers are playing an increasing role in shaping their own brand experiences and those of other consumers.
- **Partner relationship management** means working closely with partners in other company departments and outside the company to jointly bring greater value to customers. These partners can be inside the company, but also outside the firm.
- **Supply chain** is a channel, from raw material to final product, and the companies involved can be partners through supply chain management.

Capturing customer value

- **Customer lifetime value** is the value of the entire stream of purchases that the customer would make over a lifetime of patronage.
- **Share of customer**, the portion of the customer's purchasing that a company gets in its product categories.
- **Customer equity** is the total combined customer lifetime values of all of the company's customers. It is the future value of the company's customer base.

When building relationships, it is important to build the right relationships with the right customers. Customers can be high- or low-profitable and short-term or long-term oriented. When putting these on two axes, a matrix of **four terms appears**.

1. **Butterflies** are profitable, but not loyal and have a high profit potential.
2. **True friends** are both profitable and loyal and the firm should invest in a continuous relationship.
3. **Barnacles** are loyal, but unprofitable. If they can't be improved, the company should try to get rid of them.
4. **Strangers** are not loyal and unprofitable, the company should not invest in them.

STRATEGIC MARKETING PARTNERS

Strategic planning is the process of developing and maintaining a strategic fit between the organisation's goals and capabilities and its changing marketing opportunities. It is the base for the long term planning of the firm. At a corporate level, the firm starts defining the company's mission.

A **mission statement** is a statement of the organisation's purpose. The mission leads to a hierarchy of goals.

Management Business Plan

- **Business Portfolio:** the collection of the businesses and products that make the company.
- **Portfolio analysis** is the process by which management evaluates the products and businesses that make up the company. The first step is identifying the strategic business units (SBU) that are vital to the company.
- **Product/market expansion grid** is a portfolio-planning tool for identifying company growth opportunities through:
 - **Market penetration:** company growth by increasing sales of current products to current market segments without changing the product.
 - **Market development:** company growth by identifying and developing new market segments for current company products.
 - **Product development:** company growth by offering modified or new products to current market segments.
 - **Diversification:** company growth through starting up or acquiring businesses outside the company's current products and markets.

Company needs strategies such as:

- **Downsizing**, which means reducing the business portfolio by eliminating products or business units that are not profitable or that no longer fit the company's overall strategy.
- **Value chain:** the series of internal departments that carry out value-creating activities to design, produce, market, deliver and support a firm's products.
- **Value delivery network** is the network composed of the company, its suppliers, its distributors and ultimately its customers who partner with each other to improve the performance of the entire system.

MARKETING STRATEGY

Marketing strategy is the marketing logic by which the company hopes to create customer value and achieve profitable customer relationships. The company must choose which customers to serve and how to serve them. It is a process or model to allow a company or organization to focus limited resources on the best opportunities to increase.

This process involves **four steps**:

1. **Market segmentation:** dividing a market into distinct groups of buyers who have different, needs, characteristics or behaviour and who might require separate products or marketing programmes. A market segment is a group of consumers who respond in a similar way to a given set of marketing efforts.

2. **Market targeting** is the process of evaluating each market segment's attractiveness and selecting one or more segments to enter.

3. **Positioning** is arranging for a product to occupy a clear, distinctive and desirable place relative to competing products in the minds of consumers.

4. **Differentiation** is actually differentiating the market offering to create superior -customer value.

Marketing mix is the set of tactical marketing tools: product, price, place and promotion that the firm blends to produce the response it wants in the target market.

- **Product** refers to the combination of goods and service the firm offers.
- **Price** is the amount the customer pays to obtain the product. Place refers to the availability of the product.
- **Promotion** relates to the activities that communicate the benefits of the product.

FOUR MARKETING MANAGEMENT FUNCTIONS

- **Marketing analysis**, starting with a SWOT analysis. **SWOT** analysis is an overall evaluation of the company's strengths (S – internal capabilities), weaknesses (W – internal limitations), opportunities (O – external factors that can be profitable) and threats (T – external factors that might challenge the company).
- **Marketing planning** involves choosing the right marketing strategies.
- **Marketing implementation**: turning marketing strategies and plans into marketing actions to accomplish strategic marketing objectives.
- **Marketing control**: measuring and evaluating the results of marketing strategies and plans and taking corrective action to ensure that the objectives are achieved.
 - **Operating control** refers to checking the performance against the annual plan
 - **Strategic control** involves looking at the match between strategies and opportunities.

MARKETING ENVIRONMENT

Marketing environment consists of the actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers. It consists both of the micro and macro environment.

- **Microenvironment consists** of the actors close to the company that affect its ability to serve its customers, such as: the company itself and its subdivisions and suppliers that provide the resources the firm needs to produce its products.
- **Marketing intermediaries**, which are firms that help the company to promote, sell and distribute its goods to final buyers.
 - **Resellers** are distribution channel firms.
 - **Physical distribution firms** help the company stock goods
 - **Marketing service agencies** are marketing research firms.
 - **Financial intermediaries** include banks and credit companies.

Public is any group that has an actual or potential interest in or impact on an organisation's ability to achieve its objectives. These can be financial publics, media publics, government publics, local publics, general public and internal publics.

Customers are the most important actors. **Consumers markets** consist of individuals that buy goods for personal consumption. **Business markets** buy goods for usage in production processes, while **reseller markets** buy to resell at a profit. **Government markets** consist of buyers who use the product for public service, and **international markets** consist of all these types of markets across the border.

- **Economic environment** consists of economic factors that affect consumer purchasing power and spending patterns. Countries vary in characteristics, some can be considered

industrial economies, while others can be subsistence economies, consuming most of their own output.

- **Natural environment** involves natural resources that are needed as inputs by marketers or that are affected by marketing activities. Changes in this environment involve an increase in shortage of raw materials, increased pollution and increased governmental intervention.
- **Environmental sustainability** involves developing strategies and practices that create a world economy that the planet can support indefinitely.
- **Technological environment** consists of forces that create new technologies, creating new product and market opportunities. It can provide great opportunities, but also comes with certain danger.
- **Political environment** consists of laws, government agencies and pressure groups that influence and limit various organisation and individuals in a given society. Current trends in our world today are increasing legislation affecting businesses globally and thus an increase in governmental influence over businesses.
- **Cultural environment** involves instructions and other forces that affect society's basic values, perceptions, preference and behaviour. **Cultural factors influence** how people think and consume. **Core beliefs** are fundamental and passed on by parents and reinforced by the environment. **Secondary beliefs** are more open to change. People can vary in their views of themselves, of others, of organisation, but also in their views of *society, nature and the universe*.

CUSTOMER INSIGHTS

Customer insights are fresh understanding of customers and the marketplace derived from marketing information that become the basis for creating customer value and relationships. To gain this information, companies must design.

Marketing information systems (MIS), which are people and procedures for assessing information needs, developing the needed information and helping decision makers to use the information to generate and validate actionable customer and market insights. A MIS helps to assess information needs, develop needed information and analyse the right information to form customer insights.

Internal databases are electronic collections of consumer and market information obtained from data sources within the company network. Internal data can be a strong base for a competitive advantage, because of the potential of this information.

Competitive marketing intelligence is the systematic collection and analysis of publicly available information about consumers, competitors and developments in the marketing environment. Good marketing intelligence helps gain insights in how consumers think of and connect with the brand.

MARKETING RESEARCH

Marketing research is the systematic design, collection, analysis and reporting of data relevant to a specific marketing situation facing an organisation. The process of marketing research has four steps:

The process of marketing research has four steps:

1. Defining the problem and research objectives. The objective of **exploratory research** is to gather preliminary information that will help define problems and suggest hypotheses. The objective of **descriptive research** is to better describe marketing problems, situations or markets. **Causal research** aims to test hypotheses about cause-and-effect relationships.

2. Developing the research plan on how the information will be gathered.

Secondary data is information that already exists somewhere, having been collected for another purpose. Secondary data can be accessed by using **commercial online databases**, which are collections of information available from online commercial sources or accessible via the Internet. **Internet search engines** can be used to locate secondary data, but the research must verify that the found information is relevant, accurate, current and impartial.

Primary data is information collected for the specific purpose at hand. It can be collected via **observational research**, which gathers primary data by observing relevant people, actions and situations. **Ethnographic research** is a form of observational research that involves sending trained observers to watch and interact with consumers in their “natural environments”.

Primary data can also be collected via **survey research**, which gathers information by asking people questions about their knowledge, attitudes, preferences and buying behaviour.

Experimental research gathers primary data by selecting matched groups of subjects, giving them different treatments, controlling related factors and checking for differences in group response.

Online marketing research collects primary data online through Internet surveys, online focus groups, web-based experiments or tracking consumer’s behaviour online. Online focus groups gather a small group of people online with a trained moderator to chat about a product, service or organisation and gain qualitative insights about consumer attitudes and behaviour.

Customer relationship management (CRM) is managing detailed information about individual customers and carefully managing customer touch points to maximise loyalty. It means capturing and using consumer data to manage customer interactions and build customer relationships. Data mining techniques can be used to access customer data. By using CRM to understand customers, relationships with them can be deeper.

CONSUMER BUYER BEHAVIOUR

Consumer buyer behaviour is the buying behaviour of final consumers: *individuals and households* that buy goods and services for personal consumption. All these consumers add up to the consumer market: all the *households and individual* that buy or acquire goods and services for personal consumption. Consumers make buying decisions every day, but it can be difficult to determine why they make certain decisions. Consumer purchases are influenced by different characteristics.

Cultural factors

Cultural factors have an influence on consumer behaviour. **Culture** is the set of basic values, perceptions, *wants and behaviours* learned by a member of society from family and other important institutions. **A subculture** is a group of people with shared value systems based on common life experiences and situations. They are distinct, but not necessarily mutually

exclusive. **Social classes** are relatively permanent and ordered divisions in a society whose members share similar values, interests and behaviours.

Social factors

Another influence is **social factors**. **Groups** are two or more people who interact to accomplish individual or mutual goals. Many small groups influence a person's behaviour. Membership groups are groups in which a person belongs, while reference groups serve as direct points of comparison.

Word-of-mouth influence of friends and other consumers can have a strong influence on buying behaviour. An **opinion leader** is a person within a reference group who, because of skills, knowledge, personality or other characteristics, exerts social influence on others. Marketers try to identify the opinion leader and aim their marketing efforts towards this person. **Buzz marketing** involves creating opinion leaders to serve as brand ambassadors. **Online social networks** are online communities, such as blogs, social networking sites or even virtual worlds, where people socialize or exchange information and opinions.

Family can have a strong influence on buying behaviour as well. **Buying role** patterns in families change with evolving consumer lifestyles. A **person** belongs to many groups beside the *family, also clubs, organisation and online communities*. The position of a person in a group is defined in terms of role and status. A **role consists** of the expected actions of a person. People usually choose products appropriate to their role and status.

Personal factors

Personal characteristics also have an influence on consumer buyer behaviour. These characteristics can be the person's **age and life-cycle** stage, the person's occupation and economic situation, but also lifestyle and personality. **Lifestyle** is a person's pattern of living as expressed in his or her activities, interests and opinions. Personality is the unique psychological characteristics that distinguish a **person or group**.

A **brand personality** is the mix of human traits that may be used to describe the brand. There are **five general brand personality traits**: sincerity, excitement, competence, sophistication and ruggedness.

Psychological factors

Buying behaviour is influenced by four major psychological factors: motivation, perception, learning and beliefs and attitudes. **Motive** (drive) is a need that is sufficiently pressing to direct the person to seek satisfaction of the need. **Motivation research** refers to qualitative research designed to find consumer's hidden motivations. **Maslow's hierarchy** of needs categorizes needs into a pyramid, consisting of psychological needs, safety needs, social needs, esteem needs and self-actualisation needs.

Perception is the process by which people select, organise and interpret information to form a meaningful picture of the world. People from different perceptions of the same stimulus because of three perceptual processes: selective attention, selective distortion and selective retention. **Learning** describes changes in an individual's behaviour arising from experience. A drive is a strong stimulus that calls for action. Cues are minor stimuli that determine how a person responds.

A belief is a descriptive thought that a person holds about something. **An attitude** is a person's consistently favourable or unfavourable evaluations, feelings and tendencies toward an object or idea. **Attitudes** can be difficult to change, because they are usually part of bigger pattern.

There are different types of buying decision behaviour.

- **Complex buying behaviour** is characterized by high consumer involvement in a purchase and significant perceived differences among brands. The buyer will pass through a learning process, developing beliefs and attitudes and then a purchase choice will follow.
- **Dissonance-reducing** buying behaviour is consumer buying behaviour characterised by high involvement, but few perceived differences among brands.

Habitual buying behaviour is consumer buying behaviour characterized by low consumer involvement and few significantly perceived differences. **Repetition** of advertisements can create brand familiarity (but not conviction), which can lead to habitual purchases. **Variety-seeking buying behaviour** is consumer buying behaviour characterised by low consumer involvement, but significant perceived brand differences.

The buyer decision process has five stages.

1. **Need recognition** is the first stage, in which the consumer recognises a problem or need.
2. **Information search** is the stage in which the consumer is aroused to search for more information, the consumer may simply have heightened attention or may go into active information search. Information can be obtained from personal sources, commercial sources, public sources and experiential sources.
3. Evaluation of alternatives. **Alternative evaluation** is the process in which the consumer uses information to evaluate alternative brands in the choice set.
4. **Purchase decision** is the buyer's decision about which brand to purchase. Both the attitude of others and unexpected situational factors can influence the ultimate decision.
5. **Post-purchase behaviour** is the stage of the buyer decision process in which consumers take further action after purchase based on their satisfaction or dissatisfaction with a purchase. **Cognitive dissonance** is buyer discomfort caused by post-purchase conflict.

The **buyer decision process** can be different for new products. A **new product** is a good, service or idea that is perceived by some potential customers as new. The consumer must decide to adopt them or not. The **adoption process** is the mental process through which an individual passes from first hearing about an innovation to final adoption.

There are five stages in the adoption process: awareness, interest, evaluation, trial and adoption.

BUSINESS MARKETS

Business buy behaviour of organisations that buy goods and services for use in the production of other products and services that are sold, rented or supplied to others. The **business buying process** is the decision process by which business buyers determine which products and services their organisations need to purchase and then find, evaluate and choose among alternative suppliers and brands. The business market is bigger than the consumer markets, and differs in many ways.

Business demand is derived ultimately derives from the demand for consumer goods. **Business markets' demand** is more inelastic and is less affected by short-term price changes, while demand also fluctuates more quickly.

Supplier development is the systematic development of networks of supplier-partners to ensure an appropriate and dependable supply of products and materials for use in making products or reselling them to others.

There are three types of business buying situations

- A **straight rebuy** is a business buying situation in which the buyer routinely reorders something without any modifications.
- A **modified rebuy** is when the buyer wants to modify the product specifications, prices, terms or suppliers.
- A **new task** is a business buying situation in which the buyer purchases a product or service for the first time.

Systems selling (or solutions selling) is buying a packaged solution to a problem from a single seller, thus avoiding all the separate decisions involved in a complex buying situation.

There are multiple participants in the business buying process. The **buying centre** are all the individuals and units that play a role in the purchase decision-making process.

- **Users** are members of the buying organisation who will actually use the purchased product or service.
- **Influencers** are people in an organisation's buying centre who affect the buying decision, they often help define specifications and also provide information for evaluating alternatives.
- **Buyers** are the people in an organisation's buying centre who make an actual purchase.
- **Deciders** are people who have formal or informal power to select or approve the final suppliers.
- **Gatekeepers** are people in an organisation's buyer centre who control the flow of information to others.

THE BUSINESS BUYING PROCESS

The business **buying process** has **eight stages**.

1. **Problem recognition**: someone in the company recognises a problem or need that can be met by acquiring a good or a service.

2. **General need description** is the stage in the business buying process in which a buyer describes the general characteristics and quantity of a needed item.

3 **Product specification** is the stage in the business buying process in which the buying organisation decides on and specifies the best technical product characteristics for a needed item.

4. **Supplier search** is the stage in which the buyer tries to find the best vendors.

5. **Proposal solicitation** is the stage in which the buyer invites qualified suppliers to submit proposals.

6. **Supplier selection** is the stage in which the buyer reviews proposals and select a supplier or suppliers.

7. **Order-routine specification** is the stage in which the buyer writes the final order with the chosen supplier(s), listing the technical specifications, quantity needed, and expected time of delivery, return policies and warranties.

8. **Performance review** is the stage in which the buyer assesses the performance of the supplier and decided to continue, modify or drop the arrangement.

E-procurement involves purchasing through electronic connections between buyers and sellers, usually online. This can be via reverse auctions, trading exchanges, company buying sites and extranet links. Benefits of e-procurement are lower transaction costs and efficient purchasing.

Institutional market consists of schools, hospitals, nursing homes, prisons and other institutions that provide goods and services to people in their care. These markets can be extensive and are often characterized by low budgets. **Government markets** consist of governmental units (federal, state and local) that purchase or rent goods and services for carrying out the main functions of government.

TYPES OF TARGET MARKETS BASED ON SEGMENTATION

1. Age
2. Gender
3. Race
4. Income
5. Religion
6. Occupation
7. Family size
8. Geographic location
9. Zip code

COMMON TYPES OF TARGET MARKETING

1. Customers Need
2. Customer preferences
3. Values
4. Demographics
5. Location
6. Behavior
7. Lifestyles
8. Price Sensitivity
9. Competitive targeting

P'S OF MARKETING MIX

1. **Product** - The Product should fit the task consumers want it for, it should work and it should be what the consumers are expecting to get
2. **Place** - The product should be available from where your target consumer finds it easiest to shop.
3. **Price** - The Product should always be seen as representing good value for money. This does not necessarily mean it should be the cheapest available; one of the main tenets of the marketing concept is that customers are usually happy to pay a little more for something that works really well for them.
4. **Promotion** - Advertising, PR, Sales Promotion, Personal Selling and, in more recent times, Social Media are all key communication tools for an organization. These tools should be used to put across the organization's message to the correct audiences in the manner they would most like to hear, whether it be informative or appealing to the emotion.
5. **People** – All companies are reliant on the people who run them from front line Sales staff to the Managing Director. Having the right people is essential because they are as much a part of your business offering as the products/services you are offering.
6. **Processes** – The delivery of your service is usually done with the customer present so how the service is delivered is once again part of what the consumer is paying for.
7. **Physical Evidence** – Almost all services include some physical elements even if the bulk of what the consumer is paying for is intangible. For example a hair salon would provide their client with a completed hairdo and an insurance company would give their customers some form of printed material.

THE 7 FUNCTIONS OF MARKETING: A FIELD GUIDE

- Promotion.
- Selling.
- Product management.
- Marketing information management.
- Pricing.
- Financing.
- Distribution.

MARKETING GOALS

- Building brand awareness.
- Generating a high volume of qualified leads.
- Establishing thought leadership.
- Attributing marketing activities to revenue generation.
- Increasing brand engagement.

MARKETING FEATURES

1. Customer focus
2. Customer satisfaction
3. Objective-oriented
4. Marketing is both art and science
5. Continuous and regular activity
6. Exchange process
7. Marketing environment
8. Marketing mix

9. Integrated approach:
10. Commercial and non-commercial organizations
11. Precedes and follows production



READ:

Azarcon, Areola, Arguelles, Pablo-Barlis et al. Entrepreneurship Principles and Practices. First Edition. 2005, Valencia Educational Supply.

Carson, David. Marketing and Entrepreneurship in SME's: An innovative Approach First Edition. 2002. Pearson Education.

Lambing, Peggy A.: Entrepreneurship. Third Edition, 2002. Prentice Hall.

Medina, Roberto G. Entrepreneurship in Small Business Management. First Edition. 1996. Rex Printing Company. Inc.

Vaughn, Donald E. Financial Planning for the Entrepreneur. First Edition. 1997. Prentice Hill.

Activities Assessment:

Answer the following question briefly on your own words.

1. A startup food business in Quezon City sells premium organic meals, but most customers prefer cheaper fast food.
 - What marketing concept should the business apply to align with customer needs and demands?
2. A company focuses only on improving its product features but ignores changing customer preferences. Sales decline.
 - What mistake did the company make, and how can it correct it?
3. A clothing brand targets teenagers, working professionals, and senior citizens using the same marketing strategy.
 - Why is this ineffective, and how should the company improve its segmentation?
4. A mobile app offers many features but fails to clearly communicate its benefits to users.
 - How can the company improve its value proposition?
5. A new milk tea shop has great taste but poor location and no promotion strategy.
 - Which elements of the marketing mix are weak, and what should be improved?
6. A business focuses on attracting new customers but ignores existing ones, leading to low repeat purchases.
 - What CRM strategy should be implemented?
7. A small business has strong brand loyalty but faces increasing competition and rising costs.
 - Identify possible strengths, weaknesses, opportunities, and threats.

8. A customer buys an expensive smartphone due to peer influence and brand reputation.
 - Which factors influenced the buying behavior?
9. A student researches laptops online, compares brands, and asks friends before buying.
 - Identify the stages of the buyer decision process shown.
10. A company regularly orders office supplies without changes.
 - What type of business buying situation is this, and why?